

European Commission adopted on July 10 a Decision on the adequacy of the data protection framework between the EU and the USA. The adequacy decision concludes that the United States provides an adequate level of protection—compared to that of the EU—for personal data transferred from the EU to companies in the USA participating in the data protection framework between the EU and the USA.

The decision concludes that the United States ensures an adequate level of protection—comparable to that of the European Union—for personal data transferred from the EU to American companies under the new framework. Based on the new Adequacy Decision, personal data can be securely transferred from the EU to companies in the USA participating in the Framework, without the need for additional data protection measures.

The EU and USA data protection framework introduces new binding safeguards to address all the concerns raised by the Court of Justice of the European Union, including limiting access by US intelligence services to EU data to what is necessary and proportionate, and establishing a Data Protection Review Court (DPRC) to which individuals from the EU will have access. The new framework introduces significant improvements compared to the mechanism that existed under the Privacy Shield system. For example, if the DPRC finds that data has been collected in violation of the new safeguards, it will be able to order the deletion of the data. The new safeguards in the area of government access to data will supplement the obligations that US companies importing data from the EU will have to commit to.

The adequacy decision followed the signing by the USA of an Executive Order on "Enhancing Safeguards for United States Signals Intelligence Activities," which introduced new binding safeguards to address the issues highlighted by the Court of Justice of the European Union in its ruling in the Schrems II case from July 2020. Specifically, the new obligations were aimed at ensuring that US intelligence agencies can access data only to the extent that it is necessary and proportionate, and that an independent and impartial legal protection mechanism is established for processing and addressing complaints from Europeans regarding the collection of their data for national security purposes.

Frequently Asked Questions

1. What is an adequacy decision?

An adequacy decision is one of the tools provided by the General Data Protection Regulation (GDPR) for the transfer of personal data from the EU to third countries that, according to the Commission's assessment, provide a level of personal data protection comparable to that in the European Union. As a result of adequacy decisions, personal data can be freely and securely transferred from the European Economic Area (EEA), which includes 27 EU member states as well as Norway, Iceland, and Liechtenstein, to a third country, without additional conditions or approvals. In other words, transfers to a third country can be processed in the same way as data transfers within the EU. The adequacy decision on the EU and USA data protection framework covers data transfers from any public or private entity in the EEA to companies in the USA participating in the data protection framework between the EU and the USA.

2. What are the criteria for assessing adequacy?

Adequacy does not require that the data protection system of a third country be identical to that of the EU, but is based on the standard of "essential equivalence." It involves a comprehensive assessment of the country's data protection framework, including both the protections applied to personal data and the available oversight and legal protection mechanisms. European data protection authorities have compiled a list of elements that must be taken into account in this assessment:

<https://ec.europa.eu/newsroom/article29/items/614108/en>.

3. What is the data protection framework between the EU and the USA?

In its adequacy decision, the Commission carefully assessed the requirements arising from the EU and USA data protection framework, as well as the limitations and safeguards that apply when US public authorities access personal data transferred to the USA, particularly for law enforcement and national

security purposes. Based on this, the adequacy decision concludes that the United States provides an adequate level of protection for personal data transferred from the EU to companies participating in the EU and USA data protection framework. By adopting the adequacy decision, European entities can transfer personal data to participating companies in the United States without introducing additional data protection measures.

The framework grants individuals from the EU whose data would be transferred to participating companies in the USA several new rights (e.g., obtaining access to their data or obtaining rectification or deletion of inaccurate or unlawfully processed data). Additionally, it offers various means of legal protection in the event of mishandling of their data, including access to a free independent dispute resolution mechanism and an arbitration panel.

American companies can confirm their participation in the EU and USA data protection framework by committing to fulfill a detailed set of obligations regarding privacy. This could, for example, include privacy principles such as purpose limitation, data minimization, and data retention, as well as specific obligations regarding data security and sharing data with third parties.

The framework will be managed by the US Department of Commerce, which will process certification requests and monitor whether participating companies continue to meet certification requirements. The Federal Trade Commission of the USA will enforce compliance of American companies with their obligations under the EU and USA data protection framework.

4. What are the limitations and protective measures regarding access by U.S. intelligence agencies to data?

A key element of the U.S. legal framework on which the adequacy decision is based relates to the Executive Order on "Strengthening Protective Measures in the Context of Signal Intelligence Activities of the United States," which President Biden signed on October 7 and which is accompanied by regulations issued by the Attorney General. These instruments were adopted to address the issues highlighted by the Court in its ruling in the Schrems II case. For Europeans whose personal data is transferred to the U.S., the Executive Order provides for:

Binding protective measures that limit U.S. intelligence agencies' access to data to what is necessary and proportionate for the protection of national security;
Enhanced oversight of U.S. intelligence activities to ensure compliance with the limitations on surveillance activities; and

The establishment of an independent and impartial legal protection mechanism, which includes a new court for reviewing data protection to investigate and address complaints regarding access by U.S. national security authorities to their data.

5. What is the new legal protection mechanism in the area of national security and how can individuals utilize it?

The U.S. government has established a new two-tiered legal protection mechanism, with independent and binding powers, for processing and resolving complaints from all individuals whose data has been transferred from the EEA to companies in the U.S. regarding the collection and use of their data by U.S. intelligence agencies.

To be admissible, individuals do not have to prove that their data has actually been collected by U.S. intelligence agencies. Individuals can submit a complaint to their national data protection authority, which will ensure that the complaint is properly forwarded and that the individual is provided with all additional information relating to the procedure, including information on the outcome of the procedure. This ensures that individuals can contact the competent authority in their country in their own language. The European Data Protection Board will forward the complaints to the U.S.

First, complaints will be investigated by the so-called "Civil Liberties Protection Officer" of the U.S. intelligence community. This person is responsible for ensuring compliance of U.S. intelligence agencies with privacy and fundamental rights.

Second, individuals have the option to appeal the decision of the Civil Liberties Protection Officer to the newly established Data Protection Review Court (DPRC). The Court consists of members who are not government officials of the U.S., appointed based on specific qualifications, can only be removed for reasons such as a criminal conviction or being deemed mentally or physically unfit to perform their duties, and cannot receive instructions from the government. The DPRC has the authority to investigate complaints from individuals from the EU, among other things, to obtain relevant information from intelligence agencies, and can issue binding corrective decisions. For example, if the DPRC determines that data was collected in violation of the protective measures provided for in the Executive Order, it can order the deletion of the data.

In any case, the Court will select a special attorney with relevant experience to support the Court, who will ensure that the interests of the complainant are represented and that the Court is well-informed about the factual and legal aspects of the case. This will ensure representation of both sides and introduce important safeguards regarding fair trial and due process.

After the Civil Liberties Protection Officer or the DPRC completes the investigation, the complainant will be informed whether a violation of U.S. law was found or if a violation was identified and rectified. At a later stage, the complainant will also be informed when information about the proceedings before the DPRC, such as the reasoned decision of the Court, is no longer subject to confidentiality requirements.

6. When will the decision take effect?

The adequacy decision came into effect on July 10.

There is no time limit, but the Commission will

continuously monitor relevant developments in the United States and regularly review the adequacy decision. The first review will take place within one year of the entry into force of the adequacy decision to verify whether all relevant elements of the U.S. legal framework are functioning effectively in practice. Thereafter, depending on the outcome of that first review, the Commission will, in consultation with EU Member States and data protection authorities, decide on the frequency of future reviews, which will be conducted at least every four years.

Adequacy decisions may be adjusted or even revoked in the event of developments affecting the level of protection in a third country.

7. What is the impact of the decision on the ability to use other data transfer tools to the United States?

All protective measures that the U.S. government has established in the area of national security (including the legal protection mechanism) apply to all data transfers under the General Data Protection Regulation to companies in the U.S., regardless of the data transfer mechanisms used. These protective measures therefore facilitate the use of other tools, such as standard contractual clauses and binding corporate rules. More information is available on the European Commission's website: https://ec.europa.eu/commission/presscorner/detail/en/ip_23_3721.